# Three Mistakes Families Make When They're Paying for Care and Wondering About Medicaid

What each one looks like, why it happens, and the habit that helps.

When a parent needs care and Medicaid comes up, many families start from the same three assumptions. Every one of them is understandable, none is anyone's fault, and all three have the same fix.

## 1 Taking “too much money” as the answer

**WHAT IT LOOKS LIKE** A neighbor, a cousin or someone at the front desk says Mom has too much to qualify, and the family nods. She has the house and some savings, so it sounds right, and the Medicaid question gets put away.

**WHY IT HAPPENS** It was said with confidence, and a bank balance is the one number you have. But a state counts some assets and excludes others. The federal long-term care site notes that many assets are not counted at all, and that the amount a person can have varies from state to state. [1]

> **WHAT TO DO INSTEAD** Treat it as something you were told. They may be right or they may not. Write down who said it and what they were going on, then list what Mom receives and what she owns, each line marked “seen on paper” or “from memory.” Don't sort the list or total it. Bring it to your Medicaid planner, and let the answer come from someone who knows her state's rules.

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## 2 Hearing “spend down” as an instruction

**WHAT IT LOOKS LIKE** Someone says, “You'll have to spend down,” and it lands as a to-do. One of you starts wondering what to buy or pay off. Another wonders whether to move the savings. Nobody has said what the words mean for Mom.

**WHY IT HAPPENS** It sounds like advice from someone who knows. In the federal long-term care glossary, spend down is only the name for using income and assets to pay for care before a person meets Medicaid's financial requirements. The definition doesn't say what counts, how much or how, and Medicare.gov notes that the rules about who is eligible for Medicaid are different in each state. [2] [3]

> **WHAT TO DO INSTEAD** Write the phrase down with who said it, and ask them what they meant by it. Hold any decision about spending, moving or giving away something of Mom's for a conversation with an elder law attorney or your Medicaid planner, who can say what the words would mean for her.

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## 3 Working it out from hearsay while the bills are being paid

**WHAT IT LOOKS LIKE** The bill comes and somebody pays it. The Medicaid question stays where it was, half answered by things people have said. Each of you is carrying a slightly different version of what Mom has and what you were told.

**WHY IT HAPPENS** The bill is the part with a date on it, so it gets done, and that is ordinary: the National Institute on Aging says many older adults pay for part or all of their long-term care with their own money. Finding out where Mom stands takes paperwork and a conversation, and there hasn't been a spare hour for either. [5]

> **WHAT TO DO INSTEAD** Start one page and keep it with the bills: what you know, what you've only been told, and what you still need to ask. Add each bill's date and the account that paid it. Take the page to your Medicaid planner and ask what Mom's options may be. Whether and when to apply belongs to that conversation: the federal long-term care site says the best time depends on a person's medical situation, marital status and the complexity of her finances. [4]

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**The one habit behind all three**

Write down what you know, what you've only been told, and who told you. Leave what it means, and what to do about it, for a professional who knows Mom's state.

**What this guide doesn't do**

It doesn't say whether Mom qualifies, what “spend down” would mean for her, or what to do with her money, and it isn't legal, financial or tax advice. It names three habits of thinking, which are the same three the Medicaid Planning Roadmap sees at this step.

### Ready for the next step?

You know which assumptions to set aside until a professional has looked at Mom's situation. The planning interview is a way to get that situation onto paper for them: it asks about your family's circumstances and gives you a free planning report you can bring to any conversation about paying for care.

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**WHERE THIS COMES FROM**

The statements about counted and excluded assets, the meaning of “spend down,” state differences, paying for care with personal funds and the timing of an application come from the sources below. The three mistakes are the Medicaid Planning Roadmap's own.


1. Administration for Community Living (LongTermCare information), Medicaid Eligibility
2. Administration for Community Living (LongTermCare information), Glossary
3. Medicare.gov (Centers for Medicare & Medicaid Services), Medicaid
4. Administration for Community Living (LongTermCare information), Applying for Medicaid
5. National Institute on Aging, Paying for Long-Term Care


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